TAKE NOTES CAPITAL

FREE GUIDE

Passive Income

The side of real estate nobody talks about — and how to actually get started, even without $100K in the bank.

I stopped buying buildings and started buying the debt behind them. No tenants. No toilets. No rehabs. Just real estate income backed by real collateral.

By **AJ Dent** · takenotescapital.com

LET'S BE REAL

You've heard it before: *"Make your money work for you." "Build passive income." "Get into real estate."*

But nobody tells you HOW — not really. Not with actual numbers, actual strategies, and actual ways to fund it when you don't have $100K sitting around.

> If you've ever thought **"I need to make more money"** or **"I'm not sure how to break into real estate"** — this guide is built for you.

Not theory. Not fluff. Seven real strategies, what they cost to enter, how to fund them creatively, and why mortgage note investing might be the most powerful tool you've never heard of.

FIRST THINGS FIRST

When someone buys a house with a loan, they sign two things: a (proving they own the property) and a (their promise to repay the loan). That note — the IOU — is a financial asset. And just like the house itself, it can be bought and sold.

Banks sell mortgage notes every single day. They sell them to other banks, hedge funds, and — here's where it gets interesting — to individual investors like you and me.

> When you buy a mortgage note, the borrower's monthly payments come to **YOU** instead of the bank. You become the lender. The property is your collateral. And you never have to own, manage, or fix a single thing.
>
> No tenants. No toilets. No calls at 2AM.

That's note investing. Here are 7 ways it creates passive income — and exactly how to get into each one.

STRATEGY 01

Buy a Performing Note and Collect Payments

The simplest, most reliable path to note cashflow.

Buy a mortgage note where the borrower is already making payments. The payments flow to you every month like clockwork.

REAL-WORLD EXAMPLE

Buy a performing note for **$40,000**. Borrower owes $55,000 and pays **$450/month**. That's **$5,400/year** on a $40K investment — a **13.5% return**. The property (worth $80K) is your safety net.

You're buying an existing income stream. No setup. No negotiation. Just cashflow from Day 1.

HOW TO BREAK IN

ENTRY COST	SKILL REQUIRED	TIME / MONTH
$15,000–$50,000	Basic due diligence — verify payments, property value, title	1–2 hours (servicer collects for you)

HOW TO FUND IT

- → **Partner up:** Split a note with another investor — you put in $20K, they put in $20K, split the cashflow
- → **SDIRA / Solo 401K:** Roll old retirement funds into a self-directed account (see Strategy #6)
- → **Seller financing:** Some sellers will let you pay over time — especially on smaller notes
- → **Partial purchase:** Buy only a portion of the remaining payments at a discount. Lower entry, same concept
- → **HELOC:** Borrow at 8–9% against your home, invest at 12–15%. The spread is your profit. Use carefully.

TNC Tip: Performing notes are the "dividend stocks" of real estate. Boring? Maybe. Reliable? Absolutely. If you want cashflow you can count on, this is the entry point.

STRATEGY 02

2

Buy a Non-Performing Note and Re-Perform It

The bigger upside play — buy the discount, fix the situation, collect income.

When a borrower stops paying, banks sell those notes at steep discounts — sometimes **30–50 cents on the dollar**. You buy the note cheap, work with the borrower to restart payments, and now you have a performing asset you got at a fraction of the price.

REAL-WORLD EXAMPLE

Borrower owes **$65,000** on a property worth $90,000. Bank sells the note for **$28,000**.

You restructure payments to **$380/month**. That's $4,560/year on a $28K investment — a **16.3% return**.

HOW TO BREAK IN

ENTRY COST	SKILL REQUIRED	TIME COMMITMENT
$10,000–$35,000	Borrower outreach, loan modification basics, patience	5–10 hrs first 60 days, then 1–2 hrs/month

HOW TO FUND IT

- → **Business credit lines:** Many new investors use $10K–$30K in business credit to fund their first deal
- → **Private lender:** Find someone with idle capital and offer them 8–10% secured by the property. You keep the spread
- → **Joint venture:** Bring the deal + work, partner brings the capital. Split profits 50/50
- → **Retirement accounts:** SDIRAs and Solo 401Ks are perfect — tax-advantaged returns on discounted assets

> **TNC Tip:** Non-performing notes are where the real money is. The discount you buy at creates a margin of safety that makes even the "worst case" (foreclosure) profitable. **This is the strategy that separates note investors from everyone else.**

STRATEGY 03

3

Negotiate a Discounted Payoff (DPO)

The lump-sum play. Fast capital, clean exits.

Sometimes a borrower can't make monthly payments but has access to cash — from savings, family, or a refinance. You offer to settle the debt for less than what's owed. Everyone wins.

REAL-WORLD EXAMPLE

Buy a $65K note for **$28,000**. Borrower offers **$42,000** to settle.

You accept. Profit: **$14,000** on a $28K investment — a **50% return in a single transaction**.

HOW TO BREAK IN

ENTRY COST	SKILL REQUIRED	TIMELINE
Same as #2 — buy NPN first, then negotiate	Negotiation, borrower psychology, knowing what numbers work	30 days to 6 months depending on borrower

HOW TO FUND IT

→ **Same as Strategy #2** — you're buying the same type of note to start

→ **Speed is your edge:** If you can fund fast, you get better pricing from motivated sellers. Capital ready = leverage

→ **Recycle your capital:** DPO at $42K → reinvest $42K into two new notes. Compound.

TNC Tip: DPOs are the fastest way to build capital in note investing. One good DPO can fund your next two deals. Think of it as a **capital multiplier**.

STRATEGY 04

4

Foreclose and Sell the Property

The backup plan that's still profitable.

If a borrower won't engage at all — no payments, no communication, no negotiation — you start the foreclosure process. At the end, you own the property.

REAL-WORLD EXAMPLE

Into a note for **$28,000**. Property worth **$90,000**.

After foreclosure costs (~$5K–$15K), you own a $90K house for **$35K–$43K total**. Sell it and profit.

HOW TO BREAK IN

ENTRY COST	SKILL REQUIRED	TIMELINE
Note ($10K–$35K) + FC costs ($3K–$15K)	FC timeline by state, working with a foreclosure attorney	3 months (TX, GA) to 2+ years (NY, NJ)

HOW TO FUND IT

- → **Budget for the full cycle:** Note purchase + FC costs + carrying costs. Have 120% of note price available
- → **Target non-judicial states:** TX, GA, AL, MS are faster and cheaper. If capital-constrained, start here
- → **Private lender for FC costs:** If you funded the note with cash, bring in a private lender just for foreclosure costs

TNC Tip: Nobody buys a note hoping to foreclose. But knowing you CAN foreclose — and profit from it — is what makes every other strategy work. **It's your floor, not your ceiling.**

STRATEGY 05

5

Create a New Note (Seller Financing)

The note-on-note strategy. Become the bank. Twice.

After foreclosing on a property, instead of selling it outright, sell it with seller financing. Now you've created a brand-new performing note — and you can hold it for cashflow or sell it to another investor at a premium.

REAL-WORLD EXAMPLE

Foreclose and own a property worth $90K (you're in for **$40K total**).

Sell it for $85K with seller financing: **$10K down + $75K note at 8% interest**. Monthly payment: **$550**.

You've recovered your investment *and* created a long-term income stream.

HOW TO BREAK IN

ENTRY COST
You need to own the property first — second-stage strategy

SKILL REQUIRED
Dodd-Frank seller financing rules, RMLO (Residential Mortgage Loan Originator), loan term structuring

TIME COMMITMENT
A few weeks to set up, then pure passive income

HOW TO FUND IT

→ **The property IS your funding** — you already own it. Converting a real estate asset into a financial asset

→ **Down payment from your buyer** covers some or all of your carrying costs

→ **Sell the note you created:** A freshly originated note can sell at 80–95 cents on the dollar. Instant liquidity.

> **TNC Tip:** This is the full cycle — buy a note, foreclose, create a new note, sell it or hold it. One deal becomes two income streams. **This is how empires get built.**

STRATEGY 06

6

Invest Through a Self-Directed IRA (SDIRA)

Tax-advantaged note investing. Same returns. Better math.

Move your retirement funds into a Self-Directed IRA and invest in mortgage notes. All the returns — payments, payoffs, profits — flow back into your IRA tax-deferred. Or tax-FREE if it's a Roth.

REAL-WORLD EXAMPLE

Roll **$50K** from an old 401K into an SDIRA. Buy two mortgage notes.

Collect **$800/month combined** — that's **$9,600/year** growing inside your retirement account.

Not taxed until you withdraw. Or **never taxed** with a Roth.

HOW TO BREAK IN

ENTRY COST	SKILL REQUIRED	SETUP TIME

$15,000–$50,000 (whatever's in your old retirement account)	Setting up an SDIRA, understanding prohibited transactions	2–3 weeks, then same as any note strategy above

THIS IS THE FUNDING STRATEGY

→ **Old 401K from a previous job?** Roll it over. Takes 5–7 business days. No taxes. No penalties.

→ **Existing IRA underperforming?** Transfer it to a self-directed custodian. Same tax treatment, way better returns.

→ **Roth conversion:** Pay taxes now on a Traditional → Roth conversion. Every dollar of note income then grows tax-free forever.

→ **Annual contributions:** $7,000/year ($8,000 if 50+). Slower, but it adds up.

→ **Solo 401K:** If you're self-employed — higher contribution limits + checkbook control.

Top SDIRA Custodians for Note Investors: Equity Trust · Advanta IRA · IRA Club · Entrust Group

📥 Want the full step-by-step? Download our complete SDIRA guide: **"How to Invest Your IRA in Mortgage Notes"** by sending me a message on socials, or shoot me an email at .

TNC Tip: If you have an old 401K collecting dust from a job you left years ago, **you're sitting on note investing capital right now and don't even know it.** This is the #1 "I didn't know I could do that" moment for new investors.

If you aren't interested in lifting a finger and would prefer hands-off returns — that's exactly what most people use this strategy for. Roll those underperforming retirement funds and **turn 5–6% returns into 10–12%+ returns**, fully passive, backed by real property.

STRATEGY 07

7

Be the Private Lender (Passive Capital Partner)

The true hands-off path. Provide capital. Collect returns. Do nothing else.

Don't want to find deals, do due diligence, or manage notes yourself? Partner with an active note investor. You provide the capital. They do the work. Your investment is secured by the same collateral — the property.

REAL-WORLD EXAMPLE

You lend **$30,000** to a note investor at an agreed return (**8–12% annualized**).

Deal is secured by a property worth **$85,000**. Investor manages everything.

You receive monthly payments or a lump-sum return at the end of the deal.

HOW TO BREAK IN

ENTRY COST	SKILL REQUIRED	TIME COMMITMENT
$15,000–$50,000+	Know how to vet an operator — track record, transparency, collateral docs	Near zero. Review the deal, fund it, collect returns.

HOW TO FUND IT

→ **Cash savings:** The most straightforward path

→ **SDIRA (see #6):** Lend from your retirement account, earn returns tax-advantaged

→ **HELOC:** Borrow at 8–9%, earn 10–12% passively. The spread is profit, and note collateral protects you.

→ **Pool with friends/family:** Combine smaller amounts to meet deal minimums. Structure it properly with legal docs.

TNC Tip: This is how most people actually start. You don't need to know everything about notes — you need to know **one good operator**. The proof is in the numbers and the collateral.

QUICK REFERENCE

Still thinking *"I don't have the money"?* Here's every creative funding path in one place.

FUNDING SOURCE	AMOUNT RANGE	BEST FOR	SPEED
Old 401K / IRA → SDIRA	$15K–$200K+	Any strategy	2–3 weeks
Business credit lines	$5K–$50K	Non-performing notes	1–2 weeks
HELOC	$10K–$100K+	Performing notes, private lending	2–4 weeks
Private lender / JV partner	$15K–$100K+	Any strategy	Days (if relationship exists)
Seller financing on the note	$5K–$30K	Performing notes	Immediate
Partial note purchase	$5K–$20K	Performing notes	Immediate

FUNDING SOURCE	AMOUNT RANGE	BEST FOR	SPEED
0% APR business credit cards	$5K–$25K	Short-term deals (DPOs)	1–2 weeks
Pool with partners	$5K+ per person	Larger deals	Varies
Cash savings	Any amount	Any strategy	Immediate

The point: **You don't need $100K in the bank.** You need $10K–$30K and the willingness to be strategic about where it comes from.

THE HONEST COMPARISON

All 7 strategies above work. But note investing — especially non-performing notes — consistently stands out.

	RENTALS	FLIPPING	WHOLESALING	NOTE INVESTING
Entry cost	$25K–$50K+	$30K–$100K+	$0–$5K	$10K–$35K
Monthly overhead	$700–$1,200+	Varies	None	$25 (servicer)
Tenants?	Yes	During rehab	Never	Never
2AM calls?	Probably	During rehab	Never	Never
Returns	4–8% cash-on-cash	15–30% per flip	$5K–$15K/deal	12–50%+ by exit

	RENTALS	FLIPPING	WHOLESALING	NOTE INVESTING
Tax advantages	Depreciation	Short-term gains	Ordinary income	SDIRA = tax-free
Multiple exits?	Sell or rent	Sell	Assign	14+ strategies
Scalable from home?	Hard	No	Yes	Yes
Backed by collateral?	You own it	You own it + rehab risk	No ownership	Real property backs every dollar

Note investing gives you real estate returns without the real estate headaches. Every strategy in this guide is accessible, fundable, and scalable — but notes give you the widest margin of safety and the most exit options per dollar invested.

THE BOTTOM LINE

It's which strategy fits situation right now.

"I need to make more money" → You now have 7 specific strategies with real numbers and realistic entry points.

"I'm not sure how to break into real estate" → You don't need to buy a building. You don't need $100K. You need one deal, one funding source, and one guide who's done it before.

Mortgage notes give you 7+ ways to earn income from real estate — without ever owning a property, managing a tenant, or getting a call at 2AM because someone's faucet is broken again.

> *Every path above shares one thing in common: real property backs every dollar. That's not a promise. It's math.*

YOUR NEXT MOVE

Take Notes Capital

A community-first note investing business. We buy mortgage notes, create cashflow, and help private investors grow their money with real collateral behind every deal.

FREE GUIDES TO DOWNLOAD NEXT

📥 **"Note Investing vs Rentals: The Math Comparison"** — Side-by-side numbers that will change how you think about real estate

📥 **"How to Invest Your IRA in Mortgage Notes"** — Step-by-step SDIRA setup guide

📥 **"The 60-Second Tape Filter"** — Screen any note deal in under a minute

CONNECT WITH AJ — *Earn Like You Own The Building. Live Like You Never Bought One.*

EMAIL

WEBSITE
takenotescapital.com

BOOK A CALL
takenotescapital.com

INSTAGRAM
@a.j.dent

FACEBOOK
Aj.dent/tnc

LINKEDIN
ajdenttnc

LEGAL DISCLOSURES

THIS IS NOT A SECURITY. THE INFORMATION PROVIDED HEREIN IS NOT INTENDED TO BE FOR THE PURPOSES OF SOLICITING A SECURITY UNDER STATE OR FEDERAL REGULATIONS. THIS INFORMATION IS INTENDED TO GIVE THE PRIVATE INVESTOR ALTERNATIVES TO STOCK MARKET INVESTMENTS, BUT IS NOT INTENDED TO BE A SOLICITATION OF A SECURITY UNDER SEC RULES AND DEFINITIONS. THIS IS INTENDED TO BE A PRIVATE BORROWING TRANSACTION.

This guide is for educational and informational purposes only and does not constitute financial, legal, investment, or tax advice. Past performance and examples referenced herein are illustrative only and are not indicative of future results. All investments carry risk, including the possible loss of principal. You should consult a licensed financial advisor, attorney, or tax professional before making any investment decisions.